

How ICP Identification improved CAC by 11% & Inventory efficiency by 7%

Project Context

Vutto is a used two wheeler startup in India, and is creating a category of trusted used two wheelers. In 2025, over **20 Million new two wheelers** were sold in India, at an average price of \$750. [Total sales >\$15 Bn]

To scale operations across the nation, and open new geographical showrooms, it was critical to identify ICP so the GTM could be correctly planned. Goal was to find out who are the right audience for used two wheelers at a slight premium price.

Though the team on ground and founders had a good rough idea of who the TG was, I decided to formalise it so it could be scaled across teams.

Background

Used two wheelers are available via an unorganised market of hyperlocal dealers who operate without capital or space efficiency, and no data insights. There are online marketplaces like OLX [Indian equivalent of eBay / Craigslist] that operate for Peer-to-Peer. Both methods lacked trust of consumer and standardisation.

Transferring of vehicle registration from one person to other is also a hassle that can take upto 90 days. There is added complexity when vehicle has been financed by a bank.

JTBD for customer

1. Buy a reliable used two wheeler that isn't as costly as new, or a gamble like buying from eBay.
2. Save upto 30% of the cost of their two wheeler / upgrade to a higher category.

Problem Statement

Define the ideal consumer profile as clearly as possible, to enable growth initiatives and channels, customer communication, sales strategy, ideal geographical locations for showrooms and marketing activities.

There were more than one ICPs, especially for different vehicle categories [A 350cc \$1500 motorcycle had a different ICP than a \$600 scooter or a \$800 mileage bike] and identifying demand ICP helped supply find the right inventory.

Customer had to visit offline before converting, proportionate split in demographics online didn't match with on ground numbers.

Key Problems:

- a. No clear pattern on what inventory to store & stock
- b. Insights needed to guide expansion geographies amongst NCR
- c. Value propositions and messaging style to focus on for better conversions

Constraints:

1. Many consumers aren't comfortable with english or used to filling NPS or surveys. Email wasn't available in most cases.
2. There was no digital tracking / 100% lead capturing of all consumers who walked into the store.
3. Easiest way to interact with the customers was during the store while they made the purchase.

Hypothesis

1. We would be able to map out one ICP for each bike category: Mileage bikes for delivery workers, sports bikes will be popular for college kids and early career professionals, cruiser bikes would be bought by long distance travellers.
2. Only people on a budget buy used bikes, someone who can comfortably buy a new bike may not be our ICP.
3. Decision makers and users will be the same in our case.

Research Methodology

1. Demographic survey to all old customers via SMS and whatsapp.
2. Detailed conversations with 50+ walk in customers (prospects).
3. Phone calls to people who visited / took a test drive but didn't buy from us.
4. Conversations with Sales Representatives, Inside Sales, Loan Processing Associates.
5. Publicly available data on 2 wheeler sales and industry reports.
6. Competitor visits and research: Used Vehicle Dealers, listing a 2-Wheeler on Olx, [eBay/Craigslist], new 2-Wheeler Showrooms.
7. Aggregate all escalations and service complaints.

Segmentation Framework

Customers could be broken down into

1. Geography: 5km radius from store, 10km radius from store. [speak to Rochan on if there are any insights here]
2. Use case: Commute to work/university, Home errands usage, delivery / field work
3. Professional persona: Gig work, Business, blue collar job, white collar job, Study
4. Income, Education, Age

Final Demand ICP

Primary Buyer ICP

Profile: Private Job

Income Range: < INR 50,000. [Both 0-30K and 30K to 50K showed dominance in data.]

Use Case: Work Commute

Key pain points:

Buying Triggers: Work commute via public transport taking too long

Decision drivers: Price & Trust

Secondary Buyer ICP

Profile: Business Owner

Income Range: Not revealed.

Use Case: Work Errands / For Staff

Key pain points: No reliable used two wheeler source, wants to enable staff economically.

Buying Triggers: Staff productivity low / Previous vehicle got too old.

Decision drivers: Price & Trust

Demand Strategy Changes

1. Channel identification

>10% of leads and sales were happening via referral with zero effort. The conversations with customers led to creation of a monetary referral incentive to double down on the program.

>20% customers discovered us through store visibility. This led to us investing more in store appearance and start experiments in offline marketing.

2. ICP

Our assumptions made us believe that gig workers and food delivery staff would be a big chunk of our customers. However, they were either buying from other sources / the slight premium in cost dissuaded them from buying. The offerings of Free Services weren't exciting for them.

Business Owners were a new and unexpected ICP for us, as the decision maker and user of the product were different in this case. The decision maker believed in premium and understood the benefit of avoiding frequent breakdowns, whereas if the actual user were to decide, they would only optimise on price.

3. Supply and Financing

Our focus on mileage bikes in inventory was based on the hypothesis of delivery workers, which followed a different decision making process, and did not value hassle free vehicles enough.

Despite mileage bikes having the highest market share in India across categories, the ownership cycle for them is much longer compared to other categories.

4. Messaging Change:

Our ads and messaging keeping delivery workers in mind was replaced, and we started new experiments keeping business owners in mind.

We started highlighting finance further as we discovered that monthly income of our Primary ICP was often lower than the average cost of the product.

Impact

1. Knowing ICP better enabled us to optimise inventory as per their requirements. This improved inventory rotation speed by 7%, leading to further capital & space efficiency.
2. Conversion rate of ads: With reduced targeting and messaging for delivery workers, our CAC improved by 11% across Meta and Google ads. We also adjusted our SEO efforts to serve our new ICP and the queries they were searching for.

Key Learnings

1. What actually drives Purchase: Reliability > Price.

For users evaluating between a new vehicle versus a used one, their objection in buying a used is reliability. In a value conscious market like India, price might seem to be the #1 decision driver, but a lot of times, it is actually need of reliability that enables people to pay a premium.

2. Which segment converts fastest?

A. Income range not revealed

People who selected "Don't want to reveal" in income range were the ones that had fastest lead to purchase cycle. We deduced that it was most likely being SME business owners / people having cash income, who were afraid of

mentioning their income anywhere. They were the fastest to close conversation as they were looking for reliability and value, and did not have personal factors like colour, appearance, style of vehicle as filters while buying.

B. People looking for a specific model vs a category

Customers looking for a specific model (Hero Splendor or Honda Activa) knew they were only looking for the best possible option in that specific model. Customers looking for a generic category (Mileage bikes, Scooters) would often get into decision paralysis about which deal is bringing them the most value.

3. What surprised us: Professional persona expected vs actual

We expected a delivery worker to be the largest customer since mileage bikes also hold the largest market share in 2W. However, people with jobs turned out to be more interested in our product compared to delivery workers.